

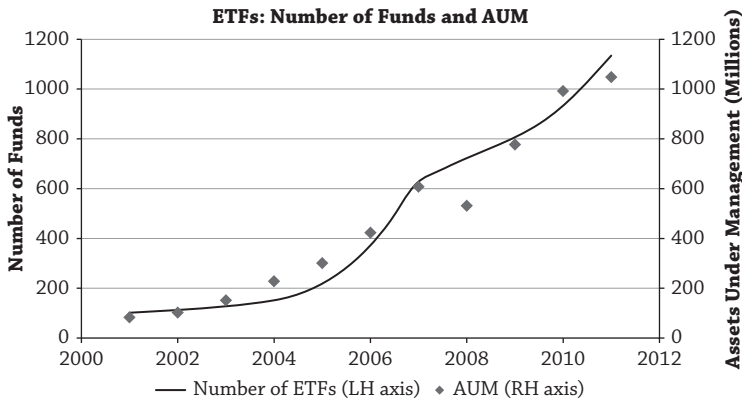


Figure 16.10

variety. There are even ETFs of ETFs. *The Economist* calls ETFs “one of the more successful financial innovations in recent decades.”<sup>54</sup>

Figure 16.10 plots data from ICI and shows that the number of ETFs rose from about 100 in 2001 to more than 1100 at the end of 2011. While 90% of ETFs are registered investment companies and fall under the 40-Act, the remainder, which mainly invest in commodity futures, are regulated by the Commodity Futures Trading Commission (CFTC). *Synthetic ETFs* hold derivatives, mostly swaps, to engineer exposure to commodities or illiquid assets. (ETFs that physically hold commodities, like gold, are regulated by the SEC.) New synthetic ETFs have been suspended since March 2010 and are still suspended at the time of writing in 2013 (but existing ones were allowed to continue).

5.1. ETFS VERSUS MUTUAL FUNDS

ETFs have a number of advantages over mutual funds:

1. Immediate liquidity

ETFs trade throughout the day. Investors in mutual funds, in contrast, all receive the same price at the end of the day. The disadvantage of ETFs is that the price investors pay can be different from the NAV—but the design of ETFs ensures that this discrepancy is small, at least during normal times (see below).

2. Tax efficiency

ETFs are generally much more tax-efficient than mutual funds (see chapter 12 for tax-efficient investing). Mutual funds must sell off securities to pay off investors redeeming shares. This capital gain is passed through to investors

<sup>54</sup>*Economist*, “Exchange-Traded Funds: Twenty Years Young,” Jan. 26, 2013.